9. Fixing tenure of five years for panchayats at all levels and holding fresh elections within six months in the event of supersession of any panchayat.

10. Establishment of a State Election Commission for conducting elections to the panchayats.

11. Constitution of a State Finance Commission after every five years to review the financial position of the panchayats.

B. Voluntary Provisions

1. Endowing the Gram Sabha with powers and functions at the village level.

2. Determining the manner of election of the chairperson of the village panchayat.

3. Giving representation to the chairpersons of the village panchayats in the intermediate panchayats or in the case of a state not having intermediate panchayats, in the district panchayats.

4. Giving representation to the chairpersons of the intermediate panchayats in the district panchayats.

5. Giving representation to members of the Parliament (both the Houses) and the state legislature (both the Houses) in the panchayats at different levels falling within their constituencies.

6. Providing reservation of seats (both members and chairpersons) for backward classes in panchayats at any level.

7. Granting powers and authority to the panchayats to enable them to function as institutions of self-government (in brief, making them autonomous bodies).

8. Devolution of powers and responsibilities upon panchayats to prepare plans for economic development and social justice; and to perform some or all of the 29 functions listed in the Eleventh Schedule of the Constitution.

9. Granting financial powers to the panchayats, that is, authorizing them to levy, collect and appropriate taxes, duties, tolls and fees.

10. Assigning to a panchayat the taxes, duties, tolls and fees levied and collected by the state government.

11. Making the grants-in-aid to the panchayats from the consolidated fund of the state.

12. Providing for constitution of funds for crediting all moneys of the panchayats.

Pesa Act of 1996 (Extension Act)

The provisions of Part IX of the constitution relating to the Panchayats are not applicable to the Fifth Schedule areas. However, the Parliament may extend these provisions to such areas, subject to such exceptions and modifications as it may specify. Under this provision, the Parliament has enacted the “Provisions of the Panchayats (Extension to the Scheduled Areas) Act”, 1996, popularly known as the PESA Act or the Extension Act.